

# High-chance portions - econ-schemes

Combined original study articles for this topic's highest-probability PYQ themes.

## External Sector & Balance of Payments

~74% · Current account · Capital account · Forex · FDI/FPI · Depreciation

### Why this portion (PYQ lens)

Portion chance ~74%. Recurring; parent econ-schemes ~79%.

Years appeared (synthesis): 2016, 2017, 2018, 2019, 2020, 2021, 2022, 2023, 2024, 2025

### Why UPSC asks this

BoP identities mix static with CAD news.

### Syllabus framing

Portion chance ~74%. Recurring; parent econ-schemes ~79%. This portion sits inside econ-schemes and centres on external sector and BoP. BoP identities mix static with CAD news.

Recurring PYQ angles: Current account, Capital account, Forex, FDI/FPI, Depreciation. Approximate appearance years in the 2016-2025 educational synthesis: 2016, 2017, 2018, 2019, 2020, 2021, 2022, 2023, 2024, 2025. Use the chance percentage only to sequence study hours - it is not an official prediction.

### Core map of external sector and BoP

Current account: Goods/services + income flows. CAD: Current outflows > inflows.

Capital account: FDI, FPI, loans. BoP identity: Accounts balance with reserve changes.

Hold this core map as your elimination spine before memorising peripheral CA overlays.

### Core concepts and definitions

Forex reserves: Insurance and intervention ammo. Appreciation/depreciation: External value of rupee.

NEER/REER: Effective exchange rate ideas. FDI vs FPI: Stable vs portfolio.

### Institutions, processes and mechanisms

Trade balance vs CAD: Goods alone vs broader CA. Invisibles: Services/remittances cushion.

Convertibility: Current free vs capital caution. External debt ratios: Sustainability outline.

### India angle and applied examples

RBI intervention: Buy/sell FX. Terms of trade: Export vs import prices.

Tariffs/quotas: WTO-aware wording. Oil/risk-off shocks: CA overlays.

### Comparisons, linkages and discriminators

Remittances: Stability source. ECB/masala headlines: Light touch.

### India angle

Track CAD/reserves headlines but answer from BoP structure first.

## Question patterns and exam spine

Matching lists and multi-statement questions on external sector and BoP.

Revision spine: Definitions -> table -> India -> traps for external sector and BoP.

Eliminate anachronisms and category errors first, then test remaining options against table rows and must-remember triggers.

## Trap watch-list (specific)

Avoid: Trade deficit always = CAD. Avoid: Depreciation always raises reserves. Avoid: FDI=FPI. Avoid: Full capital convertibility assumed.

## BoP map

### Bucket | Examples

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Current -- Goods, services, remittances

Capital -- FDI/FPI/loans

Reserves -- RBI FX changes

## Common traps

x Trade deficit always = CAD

x Depreciation always raises reserves

x FDI=FPI

x Full capital convertibility assumed

## Must remember

- CAD definition
- FDI != FPI
- Depreciation sketch
- Reserves role
- Current convertibility

## Quick revision checklist

[ ] Reproduce table

[ ] 5 must-remembers

[ ] 3 traps

[ ] India anchor

[ ] 10 MCQs

Educational prioritisation heuristic - not an official UPSC prediction. (c) UPSC IAS Study Hub original notes.

# Agriculture, Industry & Flagship Schemes

~38% · Agriculture markets · Industrial policy · Schemes

## Why UPSC asks this

Static concepts + scheme objectives/ministries matching.

## Agriculture economy

Marketing constraints, price policy, irrigation/credit themes, food security - PDS link.

## Industry & schemes

PLI-style incentive logic, MSME definitions awareness, infrastructure financing themes. For schemes: objective - ministry - year launched triad.

## Must remember

- MSP & procurement logic; e-NAM idea
- Differentiate central sector vs centrally sponsored at high level
- Always verify ministry + objective + beneficiary

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